Coal Comfort

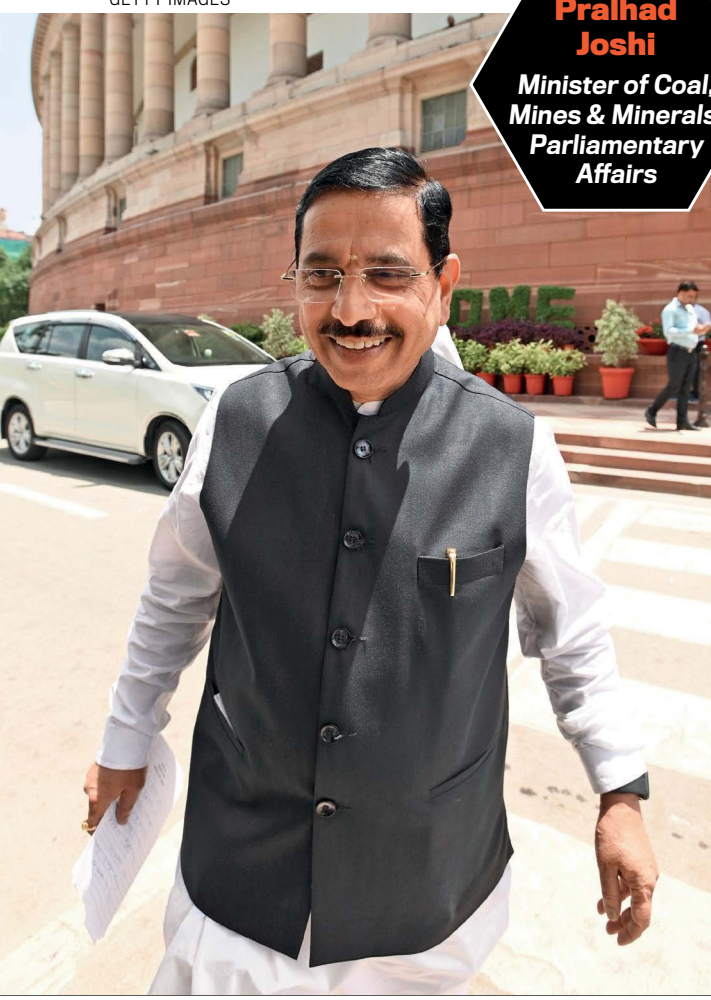
After the scare last year, coal production and supply have stabilised; liberalisation has removed the key bottlenecks

By Anilesh S. Mahajan

THIS RAIN-SPLATTERED SUMMER, coal, mines & minerals minister Pralhad Joshi could afford to be a bit relaxed. In 2022, demand for electricity peaked in March-April, straining the entire energy vertical. Since then, Joshi has been at the root of the supply chain—sourcing more coal and having it delivered to power plants across the country. Around 95 out of 165 thermal power plants in the country ran out of critical coal stock last April-May, and Joshi had to source 66.2 MT (million tonnes) coal from private as well as public sector mines. This year, he had planned for adequate coal stocks much in advance. In FY23, India's coal production was 893.08 MT (a 14 per cent rise from 778.21 MT produced in 2021-22), out of which 770.35 MT came from the state-owned Coal India Ltd (CIL) and Singareni Collieries Co. Ltd, and the rest from private miners. In the past one year, Joshi concentrated on developing new mines and improving evacuation facilities in existing mines.

In 2015, coal mining policy had gone through change after the Coal Mines Special Provisions Act (CMSP) was passed. Joshi has pushed for commercial mining and, in 2021, he helped liberalise mining laws, allowing states to hold auctions and retain royalties earned. However, despite the liberalised policy, poor land laws, lower demand for coal, export restrictions and the dominating presence of CIL still plague private miners. In March 2023, India launched the seventh round of auctions for commercial mining, putting 106 mines on sale. In the past three years, 87 mines were auctioned in the first six tranches. Joshi has plans to take coal production to 1.01 BT, where private miners will produce around 162 MT. Politically, Joshi is close to both PM Modi, home minister Amit Shah as well as RSS general secretary Dattatreya Hosabale. A BJP strategist and poll manager, his skills as parliamentary affairs minister are tested at every session, especially when Opposition parties sharply criticise proposed laws and policies and his own party wants crucial legislation to be passed. ■

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Pralhad Joshi
Minister of Coal, Mines & Minerals, Parliamentary Affairs

